

W.P. 3899/2017 Tax & Banking Tax (SB)

ORDER SHEET

IN THE ISLAMABAD HIGH COURT, ISLAMABAD.

JUDICIAL DEPARTMENT.

Writ Petition No.3899/2017

M/s Shifa International Hospitals Limited

Versus

Commissioner Inland Revenue, Islamabad, etc

Malik Nasir Abbas Awan, Advocate for the Petitioner.

Syed Ishfaq Hussain Naqvi, Advocate for the respondents.

The instant petition calls in question the audit notice received by the petitioner from the Commissioner Inland Revenue on 26.10.2017 with respect to the period: 01.07.2014 to 30.06.2015. The writ petition came for hearing before this Court on 16.11.2017 and was disposed of by this Court vide order dated 09.10.2019. The department filed appeal before the Supreme Court of Pakistan and by way of consent order, order dated 09.10.2019 was set-aside in Civil Petition No.4464/19 on 03.03.2020.

2. Learned counsel for the petitioner submitted that the notice is in violation of the observations made by this Court in case titled Pakistan Telecommunication Company Limited versus Federation of Pakistan (2016 PTD 1484).

3. On the other hand, learned counsel for the respondents contested the position and submitted that the notice for audit is not assailable.

4. Submissions of the parties have been heard and the documents placed on record examined with their able assistance.

5. The background leading to filing of the instant petition has already been mentioned hereinabove, therefore, need not be reproduced. As already observed, the petitioner is aggrieved of the notice under section 177 of the Income Tax Ordinance, 2001, whereby intimation has been made that the audit proceedings are being conducted for the tax period: 1st July-2014 to 30-June-2015. The larger Bench of this Court in case reported as Pakistan Telecommunication Company Limited versus Federation of Pakistan (2016 PTD 1484) held that before selection of audit, a notice needs to be given, however, the referred view was modified and improved upon in various pronouncements by this Court and recently in the judgment titled Zaver Petroleum Corporation Limited versus Commissioner Inland Revenue, LTU, Islamabad, etc (W.P. No.1785/2016), it was held as follows:- “6. In view of above case law of this Court as well as from other High Courts, selection for „Audit” per se is not an adverse order and does not mandate interference by this Court in judicial review, however, reasons are to be provided under proviso to section 177 of the Income Tax Ordinance, 2001 by way of notice to the taxpayer, which respondents have done, however, it is only appropriate that in terms of the earlier judgment of the Larger Bench of this Court in case reported as „Pakistan Telecommunication Company Limited Vs. Federation of Pakistan” (2016 PTD 1484), opportunity of hearing be provided, wherein respondent Department may hear out the petitioner and record objections, if any, through a speaking order.”

6. In view of the referred decision, the instant petition is without merit and is accordingly dismissed.

(CHIEF JUSTICE)